

16 Investment management

5 primary questions | Oldest to newest

2026 objectives: 4.4.1, 4.6.3-4.6.5, 5.2.2

6 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 September 2008 Q3	9 marks
CA1-P2 September 2008 Q4	10 marks
CA1-P2 September 2011 Q6	21 marks
CA1-P2 April 2013 Q1	9 marks
CA1-P2 September 2018 spare Q1	7 marks

CA1-P2 | September 2008 | Q3

Current topic | 9 marks total | Original PDF p2

Related: Ch 28.

- 3** (i) Describe the three components of market risk involved in the construction of an investment portfolio. [3]

Prospective and retrospective tracking errors can be used as measures of risk in investment portfolio construction.

- (ii) Describe each of these two measures. [4]

- (iii) Explain how the two measures differ. [2]

[Total 9]

CA1-P2 | September 2008 | Q4

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Related: Ch 10.

- 4** An investor has decided to invest part of his asset portfolio in a particular equity market. He considers that the likely immediate outlook for that market is a sustained bear market period, but nevertheless wishes to remain invested in the market.

Discuss five distinct ways in which he can outperform the market's benchmark index by making investment transactions associated with that market. [10]

CA1-P2 | September 2011 | Q6

Current topic | 21 marks total | Original PDF p4

Related: Ch 28.

- 6**
- (i) Outline how the two key objectives for managers of specific investment funds could influence risk budgeting for a particular asset portfolio. [2]
 - (ii) Explain how, when using a top down approach, the total risk budget for a portfolio of assets could be monitored in terms of strategic risk, structural risk and active risk. [7]
 - (iii) Describe the different approaches to the managing of the systemic risk and the diversifiable risks within an equity portfolio held by a large insurance company. [12]
- [Total 21]

CA1-P2 | April 2013 | Q1

[Current topic](#) | [9 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1**
- (i) Define the term risk budgeting. [2]
 - (ii) Outline the risk budgeting process for an investment fund holding a range of asset classes. [7]
- [Total 9]

CA1-P2 | September 2018 spare | Q1

Current topic | 7 marks total | Original PDF p2

2018 spare paper (X18), distinct from the September main sitting. Original paper and matching spare examiner report restored from the supplied archive. Related: Ch 14.

- 1**
- (i) Describe the two conflicting objectives investment managers will often face when managing an investment fund. [3]
 - (ii) Explain how an appropriate investment policy can be established for the management of an asset portfolio. [4]
- [Total 7]